

| By Shankkar Aiyar |

Sunil Mittal remembers driving past the IT on his way to his office at Nehru Place in New Delhi when he received the SMS. "I think it was one of the first text messages that I received. It read: we have crossed 10,000." That was December 1995 and it had taken Airtel nearly two months to notch the five-figure mark. Today, Airtel adds 10,000 in the time it takes him to drive from his home to his office off Vasant Kunj in Delhi. Indeed, in an eight-hour working day Airtel adds just over 1,00,000 subscribers to touch three million a month. Last Wednesday, when Mittal left his office his mobile blinked a message "99,900,000". As he left the office on Thursday, Bharti

around 27 million ahead of its nearest rival. So even if Mittal froze growth and new subscriptions, the next player will take over nine months at current rates of growth to reach 100 million. This, in a market which includes multinationals like Vodafone (earlier Hutch), the Tatas, a Birla, an Ambani and India's largest corporate baron—the government of India.

The achievement has been built on the back of stupefying scale. With 67,513 towers Airtel's network offers connectivity to 81 per cent of the population, rather it reaches out to people in 5,060 census towns and 4,15,000 smaller towns and villages. With 1.2 million dealers, Bharti Airtel could well be among the biggest retail players. In fact, if one took the Census statistics, Airtel has two outlets in every location for sub-

King of the RINGS

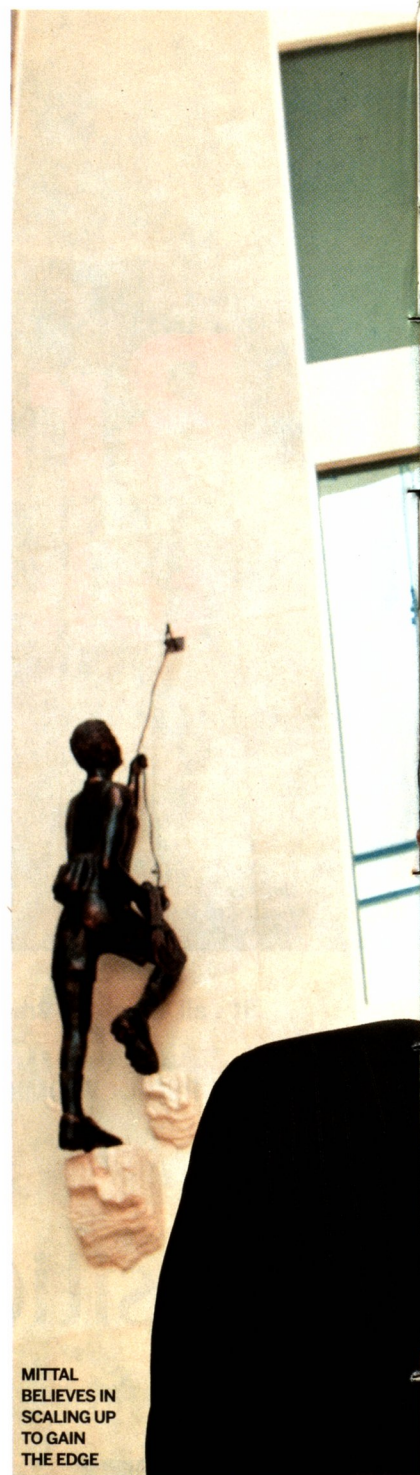
Riding competition and policy uncertainty, Sunil Mittal navigates Airtel past the 100-mn mark. Next stop: 3G.

Airtel became the first Indian company to notch 100-million subscribers.

Yes, the velocity of growth in the Indian mobile market has helped Airtel reach the landmark. After all, India added over 15 million in March alone and that gives an idea of the momentum. But the scale of the achievement couldn't have been without the relentless focus on acquisition of mass or market share. The ruling mantra at Airtel from September 1995 has been: Refine your systems and processes. Strive to get market share and build the brand. The desired result: market domination. With a market share of 24 per cent, every fourth mobile user in the country is an Airtel consumer and at 100 million subscribers Airtel is

scribers to transact business at. And, of course, there is the online presence. If only they revealed their daily collections from pre-paid cards and recharges, daily cash transactions could place Airtel among banks. Indeed, consolidated daily earnings of Airtel are to the tune of \$10 million. Significantly, in a market where average revenue per user (ARPU) is notoriously low—as low as Rs 200 for some—Airtel has an ARPU of Rs 305. Indeed, while it has one of every four connections issued in India, it earns one in every three rupees spent on mobile telephony.

Did he foresee touching the nine-digit number? No, says Mittal, candidly. After all it took nearly six years to touch the one-million subscribers mark. "It



MITTAL BELIEVES IN SCALING UP TO GAIN THE EDGE